

SUPERIOR COURT OF CALIFORNIA
COUNTY OF VENTURA

Tentative Ruling

2024CUOE034959: LEOPOLDO GUTIERREZ vs MISSION PRODUCE, INC.
08/17/2026 in Department 44
Petition to Compel Arbitration

Department Rules. Parties and counsel shall follow the Department 44 rules and Zoom protocols, available at <https://www2.ventura.courts.ca.gov/Courtroom/C44>.

Remote Appearances. The Court allows Zoom appearances as a courtesy to parties and counsel. The Court does not accommodate Court Call appearances. **You MUST register by 3:00 p.m. the court day before your hearing or you will be DENIED entry to the hearing:**

ZOOM Registration Link:

<https://ventura-courts-ca.zoom.us/meeting/register/iqN7uhQSQMuoQs-9TOXgEQ>

No advance notice is required to appear in person.

Tentative Rulings. Oral argument should address the tentative decision. To submit on the tentative decision, email courtroom44@ventura.courts.ca.gov before 8:00 a.m. on the hearing date, copying all other parties. Use the subject line “SUBMISSION ON TENTATIVE”, [Case Number], [Case Title] and [Party]. If not all parties submit, the hearing will proceed, and the tentative ruling may change.

The Court may adopt, modify or reject the tentative ruling after hearing. The tentative ruling has no legal effect unless and until adopted by the Court.

Motion: Defendant Mission Produce, Inc. (“Mission Produce” or “Defendant”) Motion to Compel Arbitration of Plaintiff Leopoldo Gutierrez (“Plaintiff”) Individual PAGA Claim and Stay

Tentative Ruling:

Defendant’s Motion to Compel Arbitration of Plaintiff’s Individual PAGA Claim and Stay is GRANTED.

Defendant’s Request for Judicial Notice is GRANTED as to Exhibits 1 and 2. The Court takes judicial notice of the existence, filing, contents, and operative legal effect of the prior court records, but not the truth of disputed factual assertions contained therein, and does not accord those records claim- or issue-preclusive effect merely by taking judicial notice of them.

Plaintiff’s Evidentiary Objections Nos. 1-10 to the Declaration of Mayra Gudiel are OVERRULED. Gudiel’s familiarity with LaborNow’s onboarding process, Avionte system, and personnel records provides sufficient foundation for the challenged testimony; the absence of personal observation of Plaintiff’s particular onboarding generally goes to weight rather than admissibility.

Defendant's evidentiary objections to the Declaration of Leopoldo Gutierrez are ruled upon as follows: Objections Nos. 1-3 are **OVERRULED**; Objection No. 4 is **SUSTAINED** in part as to Plaintiff's speculation that asking questions would cause him to be viewed as troublesome or possibly lose the job, and otherwise **OVERRULED**; and Objection No. 5 is **SUSTAINED** in part as to Plaintiff's hypothetical assertion that he would not have signed under different circumstances, and otherwise **OVERRULED**.

The Court finds that Plaintiff entered into a valid arbitration agreement governed by the FAA and that Mission Produce may enforce the agreement as a "Client Employer" expressly encompassed by its terms. The Agreement contains a valid delegation clause which reserves to the arbitrator to decide issues of scope and enforceability.

Accordingly, IT IS ORDERED that:

1. Plaintiff Leopoldo Gutierrez's individual PAGA claim is compelled to binding arbitration pursuant to the Arbitration Agreement.
2. Plaintiff's non-individual/representative PAGA claim is **STAYED** pending completion of the arbitration. The agreement itself provides for bifurcation and a stay of excluded claims, and both parties agree that a stay rather than dismissal is appropriate if arbitration is compelled.
3. The Court sets a status conference re: Arbitration on **August 17, 2027, at 8:30 a.m.** The parties shall file a joint status report at least 10 days prior to the status conference.

Defendant shall give notice.

Discussion:

1. Defendant Has Met Its Burden to Establish the Existence of an arbitration Agreement.

Mission Produce has established the existence of an arbitration agreement by a preponderance of the evidence. Gudiel authenticated the agreement from Gutierrez's LaborNow personnel file and explained LaborNow's electronic onboarding and signature process. The document itself reflects Gutierrez's electronic signature on April 2, 2024. More importantly, Gutierrez does not deny that he electronically signed LaborNow's onboarding documents; rather, he contends that he signed approximately 8 to 10 documents without reading them because he believed he had only about 30 minutes to complete them. These circumstances may bear on unconscionability, but they do not establish that his electronic signature was forged, unauthorized, or otherwise not his act.

Mission Produce also may enforce the agreement notwithstanding that it did not separately sign it. The agreement expressly states that LaborNow "and any Client Employer to which you are assigned" are collectively the "Company," and then requires arbitration of employment disputes between Gutierrez and the "Company." Mission Produce is the Client Employer to which

LaborNow assigned Gutierrez. This language is materially different from an agreement merely referring to relationships with unidentified third parties; it expressly identifies the class of nonsignatories intended to receive contractual rights. The California Supreme Court's decision in *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122 emphasizes that nonsignatory enforcement ultimately turns on the parties' manifested consent. Here, that consent appears on the face of the agreement.

Accordingly, Mission Produce's express-contract/third-party-beneficiary theory is sufficient. The Court need not rely on its alternative equitable-estoppel theory, which is less straightforward after *Ford Motor Warranty Cases*, particularly where the underlying claims arise from statutory duties rather than enforcement of contract terms.

The July 29, 2025 stipulation further supports this result. It expressly recites the separate PAGA action and provides that the parties agreed to mediate the PAGA claims in exchange for dismissal of the class action and "the submission of all Plaintiff's individual claims to arbitration." Although Plaintiff argues "individual claims" meant only the individual claims asserted in the class action, the stipulation's express reference to the PAGA action makes Mission Produce's broader reading more persuasive. The Court nevertheless need not rest its ruling on judicial estoppel because the arbitration agreement itself is sufficient.

2. The FAA governs.

The agreement expressly selects the FAA, supplemented by California law to the extent not inconsistent with federal law. There is also an adequate nexus to interstate commerce: LaborNow operated as a multistate staffing provider, while Mission Produce sources, packages, and distributes produce to domestic and international customers. Plaintiff's assertion that the Court should not place a thumb on the scale in favor of arbitration. Under *Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, arbitration agreements are treated like other contracts rather than afforded special preferential treatment. California procedural arbitration law also generally applies by default in California state court even where FAA substantive law governs arbitrability. Applying those neutral principles, however, does not alter the result here.

3. The Agreement Delegates Questions of Scope and Enforceability to the Arbitrator.

The agreement expressly provides that "the arbitrator is provided with authority to the fullest extent to determine the scope and enforceability of this Agreement." This is a direct delegation of arbitrability rather than an inference drawn merely from incorporation of arbitration rules.

Plaintiff properly challenges the delegation provision itself, so the Court must determine whether that discrete provision is enforceable. There is some procedural unconscionability for substantially the same reasons applicable to the agreement generally if Gutierrez's account of the rushed onboarding is credited. But Plaintiff has not identified substantive unfairness particular to having an arbitrator decide scope and enforceability. His "infinite duration" and EFAA arguments attack the substantive coverage of the agreement; they do not explain why delegating arbitrability is itself unfair or one-sided. This materially distinguishes *Lim v. TForce Logistics*,

LLC (9th Cir. 2021) 8 F.4th 992, where the delegation provision operated together with substantively objectionable cost-splitting, fee-shifting, and Texas-venue provisions.

The delegation clause is enforceable. Formation and the applicability of the FAA § 1 exemption remain matters appropriately resolved by the Court; questions concerning the scope and general enforceability of the otherwise-formed agreement are delegated.

4. The Representative-Action Provisions Do Not Reserve Arbitrability Exclusively to the Court.

The agreement provides that the parties will submit only their own individual claims to arbitration, excludes representative claims that cannot lawfully be waived, and requires excluded claims to be bifurcated and stayed. Nothing in those provisions expressly reserves interpretation of the representative-action waiver to the Court.

The subsequent reformation language likewise states that a “court of competent jurisdiction or arbitrator” may determine that the agreement is too broad. Read in context, that language recognizes the possibility of judicial review and severance; it does not negate the immediately preceding express delegation to the arbitrator.

5. The Individual PAGA Claim Shall Proceed to Arbitration and the Representative PAGA Claim Will be Stayed.

The agreement expressly contemplates arbitration of the parties’ own individual claims while excluded representative claims are bifurcated and stayed. Consistent with *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639 and *Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104, Gutierrez’s individual PAGA claim may be compelled to arbitration without eliminating his standing to pursue the nonindividual PAGA allegations in court after arbitration. *Adolph* further recognizes the trial court’s ability to stay the nonindividual component pending resolution of the individual arbitration.

A stay is appropriate here because the individual and representative components turn on overlapping alleged Labor Code violations, the agreement itself calls for a stay, and both parties agree that the court action should be stayed if arbitration is compelled. Defendant’s reply expressly requests that result, while Plaintiff likewise requests a stay rather than dismissal in the event the motion is granted.